

Can Fin Homes Limited

October 09, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	12,000.00 (Enhanced from 10,000.00)	CARE AAA; Stable	Reaffirmed
Non-convertible debentures	SEBI	2,500.00	CARE AAA; Stable	Reaffirmed
Non-convertible debentures	SEBI	2,240.00	CARE AAA; Stable	Reaffirmed
Non-convertible debentures	SEBI	10,000.00	CARE AAA; Stable	Reaffirmed
Tier-II bonds	SEBI	200.00	CARE AAA; Stable	Reaffirmed
Commercial paper	RBI	4,500.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The rating reaffirmation of the long-term bank facilities and debt instruments of Can Fin Homes Limited (CFHL) continues to factor CFHL's strong parentage, with Canara Bank (rated 'CARE AAA; Stable') as the primary shareholder holding 29.99% as on June 30, 2026. The parent provides board level oversight, strategic guidance and shared brand franchise. Despite its modest shareholding, Canara Bank considers CFHL a strategically important entity and has reiterated its commitment to provide support while maintaining its equity stake.

Supported by its parentage and track record, CFHL enjoys strong financial flexibility, enabling it to raise funds from diversified sources at competitive rates. Ratings also reflect CFHL's relatively low-risk loan portfolio, with a dominant share of salaried borrowers, its continued healthy financial performance, stable profitability, strong asset quality, and adequate capitalisation levels. These strengths outweigh credit challenges arising from high leverage, regional concentration, and competitive housing finance segment.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade

- Not applicable

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade

- Weakening credit profile of Canara Bank.
- Change in Canara Bank's philosophy towards CFHL or announcement of stake sale.
- Increase in gearing (total debt/net worth) beyond 8x levels.
- Weakening asset quality with gross stressed assets of above 5% on a sustained basis.

Analytical approach: Standalone

Standalone, factoring in the linkages with Canara Bank, with whom, CFHL shares the brand name and derives managerial and financial support. Canara Bank's management has also reiterated its strong commitment to support the entity.

Outlook: Stable

The stable outlook reflects CareEdge Ratings' expectation that CFHL will continue to benefit from its strong parentage with Canara Bank, sound financial metrics, and consistent profitability supported by comfortable asset quality.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers:

Key strengths

Strong parentage

CFHL is promoted by Canara Bank (rated 'CARE AAA; Stable'), which held a significant stake of 29.99% as on June 30, 2026. As its sponsor, Canara Bank provides board-level guidance, managerial support, and shared brand equity, while also enhancing CFHL's financial flexibility. Three senior Canara Bank officials, including Hardeep Singh Ahluwalia, Executive Director-Canara Bank, serve on CFHL's Board. Canara Bank considers CFHL a strategically important entity and has reiterated its commitment to support the company, despite its modest shareholding and intent to maintain the stake. CareEdge Ratings expects this support to continue going forward.

Comfortable asset quality

CFHL's loan book is largely retail-focused, with 67.6% of the portfolio comprising loans to the salaried and professional class as on June 30, 2026. Housing loans dominate the portfolio at ~83%, while the balance is diversified across mortgage, top-up loans, and staff loans. The predominance of salaried borrowers, and adequate collateral cover, has supported comfortable asset quality metrics over the years. In the housing loan segment, average incremental ticket size stood at ₹25 lakh, with a conservative average loan-to-value (LTV) ratio of ~47%. In non-housing segment average ticket size stood at ₹14 lakh. Asset quality remains healthy with gross non-performing assets (GNPA) at 0.87% as on June 30, 2026 (June 30, 2025: 0.98%) and net NPA (NNPA) at 0.42% (June 30, 2025: 0.54%).

Although company operates in a highly competitive housing finance environment, CareEdge Ratings expects asset quality to remain comfortable, supported by the company's prudent underwriting and secured portfolio mix.

Diversified resource profile

CFHL's borrowing profile is well-diversified across instruments. As on June 30, 2026, term loans from private and public sector banks formed the largest share at 62.1%, followed by refinance from the National Housing Bank (15.4%), NCDs (14.3%), commercial paper (7.7%), and deposits (0.6%). The company also maintains significant undrawn credit lines, including working capital limits amounting to ₹6,936 crore as on June 30, 2026, as part of its liquidity buffer.

Adequate profitability metrics

The company has reported consistent profitability supported by healthy net income margin (NIM), controlled operating and credit costs. NIM witnessed improvement to 3.76% in FY26 (FY25: 3.50%) while Opex/ average total assets marginally increased to 0.73% (PY: 0.61%). Credit costs declined to 0.09% in FY26 from 0.20% in FY25, contributing to a improvement in return on total assets (ROTA) to 2.53% (FY25: 2.21%). Profitability remained healthy in Q1FY27, with profit after tax (PAT) increasing by 19.6% year-on-year, supported by continued business growth and stable operating performance.

CareEdge Ratings expects profitability levels to remain stable supported by healthy spreads and asset quality. CFHL's focus on a stable business model has allowed it to withstand competitive pressures, ensuring portfolio expansion without undermining profitability.

Key weaknesses

Regional concentration of operations

CFHL is a moderately sized player in the housing finance industry. The loan portfolio has witnessed growth of 10.45% in FY26 and 10.80% year-on-year growth in Q1FY27 and stood at ₹42,961 crore as on June 30, 2026. The company's operations remain concentrated in Southern India, where 45.2% of its 250 branches are in Tamil Nadu, Karnataka, and Telangana, contributing ~62% of total advances. CareEdge Ratings expects this regional concentration to persist in the medium term.

High gearing levels

Healthy profit generation has helped the company maintain a comfortable capital adequacy ratio (CAR) of 23.39% as on June 30, 2026, against regulatory requirement of 15%. Overall gearing improved to 6.46x as on June 30, 2026, from 7.02x as on March 31, 2025, though it remains higher than most peers. CareEdge Ratings expects gearing to remain capped at ~8x in the near-to-medium term. Risk of operating with relatively high leverage is partly mitigated by CFHL's focus on low-risk housing loans, with salaried borrowers. The company's ability to raise funds at competitive rates from diversified sources has further supported its ability to sustain higher gearing while maintaining adequate capitalisation.

Liquidity: Adequate

Per the asset liability management (ALM) statement as on June 30, 2026, CFHL's liquidity profile is characterised by no negative cumulative mismatches in time bucket supported by supported by adequate cash and liquid investments maintained and sanctioned undrawn lines maintained by the company. As on June 30, 2026, the company had unavailed bank limits of ₹6,936 crore besides cash and bank balance of ₹303 crore and investments of ₹2,129 crore. As against debt repayment obligation of ₹16,262 crore for the next one year. The advances inflow for the next one year stood at ₹6,549 crore. CareEdge Ratings draws comfort from the company's demonstrated ability to raise funds at competitive rates through its diversified resource base considering strong parentage and its robust performance.

Environment, social, and governance (ESG) risks

Given the service-oriented business of the CFHL, its direct exposure to environmental risks and climate risks is not significant.

Environmental: The company continues to strengthen its sustainability initiatives through renewable energy adoption and responsible resource management. In FY26, its 25-kW rooftop solar installation generated ~8,140 kWh of clean energy, while the launch of a rooftop solar loan scheme supported wider adoption of solar energy among customers. The company also recycled 0.88 tonnes of e-waste through authorised recyclers, transitioned all offices to LED lighting, deployed solar-backed UPS systems across the registered office and 16 branches, and implemented energy-efficient measures such as motion-sensor lighting. It undertook a climate risk assessment to evaluate and manage potential physical and transition risks arising from climate change.

Social: The company remains committed to fostering an inclusive and responsible workplace through equal opportunity employment, diversity, and employee well-being initiatives. In FY26, female employee recruitment increased by 16.67%, supporting greater workforce diversity. The company also reported zero instances of sexual harassment, workplace discrimination, human rights violations, data privacy breaches, or cyber security incidents. In addition, its CSR initiatives focused on key areas such as education, healthcare, women's empowerment, clean energy, sanitation, environmental conservation, animal welfare, and support for underserved communities.

Governance: The company continued to strengthen its governance framework through ongoing IT transformation and digitalisation initiatives aimed at enhancing operational efficiency, scalability and customer experience. It further strengthened its cybersecurity and risk management frameworks to safeguard information assets and support business continuity. Governance oversight was enhanced through the constitution of an ESG Sub-Committee to monitor sustainability initiatives and ESG performance.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

[Short Term Instruments](#)

[Factoring Linkages Parent Sub JV Group](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

CFHL was incorporated in 1987 by Canara Bank (rated 'CARE AAA; Stable') in association with financial institutions including HDFC and UTI. CFHL is the first bank-sponsored housing finance company in India with Canara Bank holding a stake of 29.99% as on June 30, 2026. The company is engaged in providing housing finance to individuals for construction, purchase, repair and upgradation of houses. The company operates mainly in southern India with 45.2% of its 250 branches Tamil Nadu, Karnataka, and Telangana, contributing ~62% of total advances as on June 30, 2026. As on June 30, 2026, CFHL's advances stood at ₹42,961 crore. Loans extended to salaried class form the major share of ~67.6% as on June 30, 2026.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	3,880	4,218	1,096

Profit after tax (PAT)	857	1,086	268
Assets under management (AUM)	38,217	42,209	42,961
On-book gearing (x)	7.02	6.54	6.46
AUM / tangible net-worth (TNW) (x)	7.65	7.21	NA
Gross non-performing assets (NPA) / gross stage 3 (%)	0.88	0.85	0.87
Return on managed assets (ROMA) (%)	2.21	2.53	NA
Capital adequacy ratio (CAR) (%)	24.48	23.15	23.39

A: Audited; UA: Unaudited; Note: these are latest available financial results; NA: Not available

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Bonds-Tier II Bonds	SEBI	Complex	Proposed	-	-	-	200.00	CARE AAA; Stable
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE477A14EM2	12-Aug-2026	6.86%	11-Nov-2026	500.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE477A14EN0	20-Aug-2026	6.45%	19-Nov-2026	500.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE477A14EO8	07-Sep-2026	6.50%	07-Dec-2026	300.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE477A14EP5	08-Sep-2026	6.50%	08-Dec-2026	200.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE477A14EQ3	15-Sep-2026	6.40%	15-Dec-2026	500.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE477A14ER1	25-Sep-2026	6.30%	23-Dec-2026	500.00	CARE A1+

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	Proposed	-	-	-	2,000.00	CARE A1+
Debentures-Non-convertible debentures	SEBI	Simple	Proposed	-	-	-	4.00	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE477A07407	30-Jan-2025	7.90	30-Jan-2030	500.00	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	Proposed	-	-	-	100.00	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE477A07399	03-Apr-2024	8.18	03-Apr-2029	900.00	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE477A07381	23-Feb-2024	8.25	21-May-2027	1,000.00	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE477A07357	24-Aug-2022	7.80	24-Nov-2025	1,000.00*	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE477A07365	23-Dec-2022	8.08	23-Mar-2026	301.00*	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	INE477A07373	27-Feb-2023	8.45	27-May-2026	935.00*	CARE AAA; Stable
Debentures-Non-convertible debentures	SEBI	Simple	Proposed	-	-	-	10000.00	CARE AAA; Stable
Fund-based - LT-Term Loan	RBI	NA	-	-	-	August 2036	9240.50	CARE AAA; Stable
Fund-based - LT-Term Loan	RBI	NA	Proposed	-	-	-	2759.50	CARE AAA; Stable

*Redeemed

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Bonds-Tier II Bonds	LT	200.00	CARE AAA; Stable	-	1)CARE AAA; Stable (17-Nov-25) 2)CARE AAA; Stable	1)CARE AAA; Stable (13-Dec-24) 2)CARE AAA; Stable	1)CARE AAA; Stable (26-Sep-23)

						(09-Oct-25)	(25-Sep-24)	
2	Debentures-Non-convertible debentures	LT	-	-	-	1)Withdrawn (17-Nov-25) 2)CARE AAA; Stable (09-Oct-25)	1)CARE AAA; Stable (13-Dec-24) 2)CARE AAA; Stable (25-Sep-24)	1)CARE AAA; Stable (26-Sep-23)
3	Debentures-Non-convertible debentures	LT	2500.00	CARE AAA; Stable	-	1)CARE AAA; Stable (17-Nov-25) 2)CARE AAA; Stable (09-Oct-25)	1)CARE AAA; Stable (13-Dec-24) 2)CARE AAA; Stable (25-Sep-24)	1)CARE AAA; Stable (26-Sep-23)
4	Debentures-Non-convertible debentures	LT	2240.00	CARE AAA; Stable	-	1)CARE AAA; Stable (17-Nov-25) 2)CARE AAA; Stable (09-Oct-25)	1)CARE AAA; Stable (13-Dec-24) 2)CARE AAA; Stable (25-Sep-24)	1)CARE AAA; Stable (26-Sep-23)
5	Commercial Paper-Commercial Paper (Standalone)	ST	4500.00	CARE A1+	-	1)CARE A1+ (17-Nov-25) 2)CARE A1+ (09-Oct-25)	1)CARE A1+ (13-Dec-24) 2)CARE A1+ (25-Sep-24)	1)CARE A1+ (26-Sep-23)
6	Fund-based - LT-Term Loan	LT	12000.00	CARE AAA; Stable	-	1)CARE AAA; Stable (17-Nov-25) 2)CARE AAA; Stable (09-Oct-25)	1)CARE AAA; Stable (13-Dec-24) 2)CARE AAA; Stable (25-Sep-24)	1)CARE AAA; Stable (26-Sep-23)
7	Debentures-Non-convertible debentures	LT	10000.00	CARE AAA; Stable	-	1)CARE AAA; Stable (17-Nov-25) 2)CARE AAA; Stable (09-Oct-25)	-	-

LT: Long term; ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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